IBM Investment Recommendation

WATCH / DEFER

Base value falls below market, and qualified bridge and WACC evidence remains unresolved. Revisit after reported operating proof and tighter valuation evidence.

IBM CLOSE	DCF RANGE	BASE DCF	COMMITTEE ASK
$231.40	**$145.13 - $224.28**	**$182.29**	**Defer initiation**
September 1, 2026	Low / base / high causal cases	21.2% below market	Reopen on evidence triggers

USD except per-share data. Values are analyst outputs using information available by the stated cutoff. The range is not a probability-weighted target.

IBM Investment Thesis

What could work

- Software revenue grows from the H1 reported base and provides the largest displayed segment-growth upside test.
- Gross margin rises from 57.2% in 2026 to 59.0% by 2030 in the base case; its +1pp OAT test is the largest displayed operating/value sensitivity.
- Operating FCFF rises from $7.3bn H2-only in 2026 to $13.5bn in 2030.

Business scope

FY2025 revenue	$m
Software	29,962
Consulting	21,055
Infrastructure	15,718
Financing	737

Financing is valued as a separate June 30 book-equity sidecar, not in operating FCFF.

Why wait

- Market price exceeds every DCF case.
- Terminal value contributes 78.1% of operating EV.
- Beta, IBM-specific debt yield, future dilution and pension treatment need stronger evidence.

FY2026 company-style FCF proxy is $10.918bn, $4.782bn below the July management-outlook reference. Future SBC dilution is unresolved.

FY2025 segment revenue: IBM FY2025 Form 10-K. Thesis statements are analyst interpretation, not company guidance.

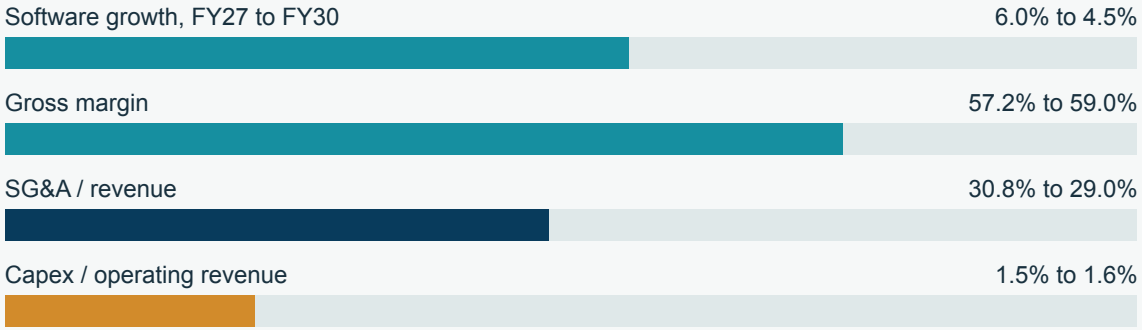
Historical Financials and Forecast Drivers

FY2026 timing convention

Full-year 2026 combines H1 actual with H2 forecast. The June 30 balance sheet rolls forward using H2 only. After the September 1 close, the DCF begins with 121/184 of H2 operating FCFF.

USD m	H1 actual	H2 forecast	FY2026
Revenue	33,079	37,826	70,905
Net income	3,381	4,005	7,386
PP&E capex	461	561	1,022
Software investment	313	374	687

Base driver path



16% NOPAT tax and $7.5bn operating-cash reserve are analyst assumptions. They are not reported cash taxes or corporate policy.

Reported H1 figures: IBM Q2 2026 Form 10-Q. Forecast paths: `model/inputs.json`; normalization and challenges: source ledger and assumption record.

Five-Year Pro-Forma

USD m	2026	2027	2028	2029	2030
Revenue	70,905	73,720	76,611	79,451	82,219
Operating EBIT ex-Financing	9,924	11,294	12,573	13,670	14,717
Net income	7,386	8,559	9,567	10,429	11,253
Operating FCFF*	7,286	11,596	12,917	13,094	13,514
Cash	10,164	15,331	21,589	27,832	34,312
Corporate debt	48,940	48,000	47,000	46,000	45,000
Balance-sheet gap	0.0	0.0	0.0	0.0	0.0

Cash-flow reconciliation

Each annual cash balance reconciles to consolidated cash flow and the balance sheet. Working-capital ratios use operating revenue/cost only, avoiding IBM Financing leakage into operating FCFF.

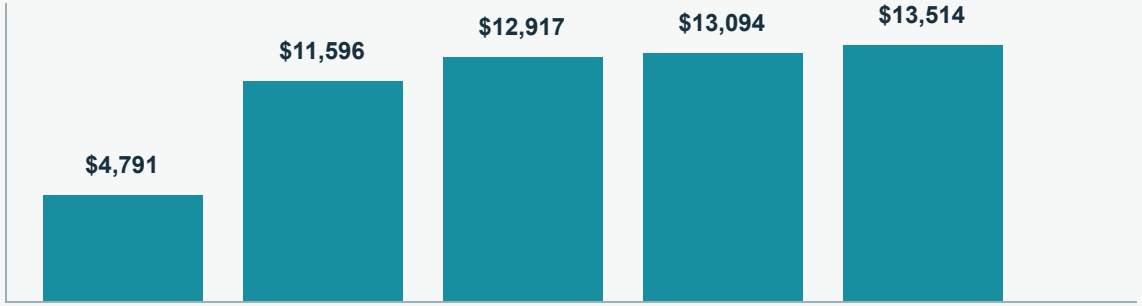
Accounting status

> PASS: SBC is a noncash CFO add-back and APIC credit; it is not added to operating FCFF. Balance sheets and cash-flow gaps are zero.

*FY2026 FCFF is H2 only; FY2027-30 are full-year values. Figures are calculated model output; all currency is USD millions.

DCF Valuation

Operating value



Operating FCFF, USD m. Explicit FCFF PV plus terminal PV produces $220.1bn operating EV.

WACC: 7.07%. Terminal growth: 2.5%. Terminal incremental ROIC: 15.0%. Terminal PV is 78.1% of operating EV.

Enterprise-to-equity bridge

Operating EV	$220,096
+ Financing equity	1,450
+ Excess cash and securities	2,741
- Corporate debt	(48,940)
- September 10 dividend payable	(1,592)
- NCI	(89)
Common equity	**$173,665**
Diluted shares proxy	**952.7**
Value / share	**$182.29**

The $1.69 dividend was declared before the cutoff, recorded August 10 and payable September 10. It is deducted exactly once.

WACC uses 4.79% Treasury, 4.14% implied ERP, 0.70 qualified beta and 5.47% Treasury plus single-A OAS debt proxy. Pension increment is $0 by convention. See source ledger for limitations.

Comparable Valuation

Peer policy

Oracle and Accenture remain qualified, not equivalent, peers. Selection requires a publicly traded global enterprise-tech or consulting business with timely GAAP disclosure available before cutoff. Each multiple applies separately. No mean or blended target is used.

Peer	EV / EBIT	P / E
Oracle	24.74x	23.97x
Accenture	10.55x	14.78x

IBM implied values

Peer	EV / EBIT	P / E
Oracle	$208.59	$185.80
Accenture	$60.80	$114.59

P/E uses FY2026E consolidated net income as a labeled common-earnings proxy, not NOPAT. It lacks a separate NCI earnings allocation and therefore supports context, not precision.

Oracle's cloud capex and preferred-equity structure, Accenture's consulting mix and fiscal timing, IBM Financing, and capital intensity limit comparability.

Oracle FY ended May 31, 2026; Accenture TTM ended May 31, 2026. Prices are September 1, 2026. Definitions and raw inputs: `model/valuation.py` and evidence ledger.

Scenarios and Sensitivities

Causal cases

Case	Value / share	Interpretation
Low	$145.13	Lower growth and margin; higher tax and capex
Base	$182.29	Documented operating path
High	$224.28	Higher growth and margin; lower tax and capex

Key OAT valuation drivers

Gross margin +1pp	+$12.20
Software growth +2pp	+$8.36
SG&A / revenue -0.5pp	+$6.14
Tax -2pp	+$5.23

WACC / terminal-growth value per share

WACC	2.0%	2.5%	3.0%
6.07%	$221.22	$243.39	$272.66
6.57%	$192.91	$209.09	$229.71
7.07%	$170.18	$182.29	$197.29
7.57%	$151.53	$160.76	$171.95
8.07%	$135.95	$143.10	$151.60

Market price requires a 3.82% terminal-growth solution at 15% ROIC. The reverse DCF exposes a demanding steady-state expectation.

One-at-a-time tests change only the named operating driver. The app enforces documented input bounds and resets to base. Sensitivity is directional, not a distribution.

Risks and Committee Decision

Defer initiation

Keep IBM on watch. The base valuation and the high causal case do not clear the September 1 price, and important bridge/WACC assumptions remain qualified.

Monitor

- Software growth and renewal evidence versus the 6% to 4.5% path.
- Gross margin and SG&A conversion toward 59% and 29%.
- Cash conversion and debt reduction versus the pro forma.

Positive review condition

- Two reported quarters support the operating case.
- Reproducible beta and IBM debt-yield evidence reduce WACC uncertainty.
- Pension, diluted shares and Financing value reconcile without a material equity deduction.

Reversal triggers

- Software growth or margin falls below the base path.
- Debt rises or cash conversion weakens materially.
- Validated bridge claims reduce value, or price remains above conservative value.

Committee action: no position today. Next review: next reported quarter or earlier if verified bridge/WACC evidence materially changes the conservative valuation range. Sources: IBM filings, IBM investor relations, Treasury, FRED, Damodaran and peer filings, all documented in the evidence ledger.
AI assistance, independent validation, and the historical changed-input experiment are documented in `docs/validation-and-ai-use.md` and the accompanying Validation and AI Use PDF.